responsibility in other hands. The RBI has responsibility for managing the internal and external value of the rupee, and more broadly, working towards macroeconomic stability. As a number of multilateral agencies and academics have recognized, the ability to shape capital inflows is now a recognized part of the macro-prudential tool kit. But by taking away control over internal capital inflows from the RBI, isn't the FSLRC taking away an important tool from the RBI?

IF IT AIN'T BROKE...

Lest all this sound like an unthinking defence of regulatory turf, let me add that there are places where the RBI could give up powers. For instance, if the government wants to manage its own debt, there is no reason for the RBI to stand in the way. I don't believe the government suffers any less from conflicts of interest in debt management (unlike the views of the FSLRC), but the RBI could well carry out the government's instructions without any loss in welfare. I imagine, however, that the government will depend on deputations from the RBI for a while to help it manage its debt.

Instead, think of my remarks as an attempt to distil what is useful from the FSLRC report, while eschewing grand schemes with dubious chances of success. Undoubtedly our laws need reform, but that is no reason to try entirely new approaches to legislation, overlaid on entirely new regulatory structures, overlaid on entirely new oversight over regulation. Undoubtedly, we have had, and will have, periods when regulators have not gotten along with each other. But is that a reason to merge some organizations and break up others, perhaps ensuring dysfunctionality along many other dimensions. After all, there is no single regulatory architecture that has emerged with distinction from the crisis. Instead, different regulatory architectures have succeeded or failed based on the circumstances of the country failed and the quality of the regulator.